The problem of agency was introduced to economics by Ross (1973)—the same Stephen Ross who developed the theory of the multifactor model (see chapter 6). Agency problems are everywhere: they arise between employers and employees, landlords and tenants, clients and attorneys, patients and physicians, the public and politicians, and so on. In the context of asset management, the principal is the owner of the funds while the agent is the fund manager or advisor.

2.1. AGENCY PROBLEMS

Agency problems in delegated asset management arise because the asset owner (principal) and the fund manager (agent) have different utilities or risk aversions, incentives, horizons, skills, information sets, or interests. In addition, the principal's ability to monitor the agent is limited. In the cases where monitoring is possible, it could be expensive, it can be done only infrequently, and the asset owner may not understand the information being uncovered in the monitoring process. Principals lack the ability to judge whether the agent has talent or whether the agent is doing a good job. Even when a talented fund manager is employed, the principal does not know if the agent is working or shirking.

There are two key agency problems, with the terminology for both originating from insurance:

Adverse selection arises when the principal cannot verify the agent's skills. The manager is always better informed than the asset owner. The manager claims to have alpha, but the asset owner is naturally skeptical. The asset owner cannot verify whether the manager is the next Warren Buffett or the next Bernie Madoff.

In the insurance context, adverse selection arises when individuals have more information than the insurer, so only individuals who know they are terminally ill are more likely to purchase life insurance. Not taking into account the adverse selection results in the insurer charging too low a premium.

Moral hazard arises when the principal cannot observe the effort put in by the agent and the agent has or can acquire superior information than the principal has. The asset owner hires the budding Warren Buffett. But the asset owner can't monitor him. Instead of adding value to the asset owner's portfolio, Warren is in fact adding value to his own portfolio and ignoring the asset owner's. Worse, budding Warren is churning and front-running, thereby actually losing money for the asset owner.

In the insurance context, moral hazard arises (for example) when the insurer has sold an insurance policy covering theft. But the insurer can't monitor the individual buying the policy, who now leaves his front door wide open, since he's not bearing the loss. The insurer will end up underpricing the coverage if it does not take into account moral hazard.

Economists have studied ways to mitigate agency problems. Principals and agents can write contracts or construct governance mechanisms (economists call these *games*). The contract must make it worthwhile for talented, good agents to